Chapter

3

Planning and Strategic Management

What Is Planning?

- Planning
  - A primary managerial activity that involves:
    - Defining the organization’s goals
    - Establishing an overall strategy for achieving those goals
    - Developing plans for organizational work activities
    - Assign committees to get the work done
  - Informal planning
    - Nothing is written down
    - Little or no sharing of goals with others
  - Formal planning
    - Specific goals covering a specific time period
    - Written and shared with organizational members
    - Specific action program is developed to achieve the goal

Why Do Managers Plan?

- Purposes of Planning
  - Provides direction to managers and nonmanagers alike
  - Reduces uncertainty
  - Minimizes waste and redundancy
  - Sets the standards for controlling

Planning and Performance

- The Relationship Between Planning and Performance
  - Formal planning is associated with:
    - Higher profits and returns on assets.
    - Positive financial results.
  - The quality of planning and implementation affects performance more than the extent of planning.
  - The external environment can reduce the impact of planning on performance.
  - Formal planning must be used for several years before planning begins to affect performance.

Contemporary Issues in Planning

- Criticisms of Planning
  - Planning may create rigidity.
  - Plans cannot be developed for dynamic environments.
  - Formal plans cannot replace intuition and creativity.
  - Planning focuses managers' attention on today's competition not tomorrow's survival.
  - Formal planning reinforces today's success, which may lead to tomorrow's failure.
  - Just planning isn't enough.

Contemporary Issues in Planning

- Effective Planning in Dynamic Environments
  - Develop plans that are specific but flexible.
  - Understand that planning is an ongoing process.
  - Change plans when conditions warrant.

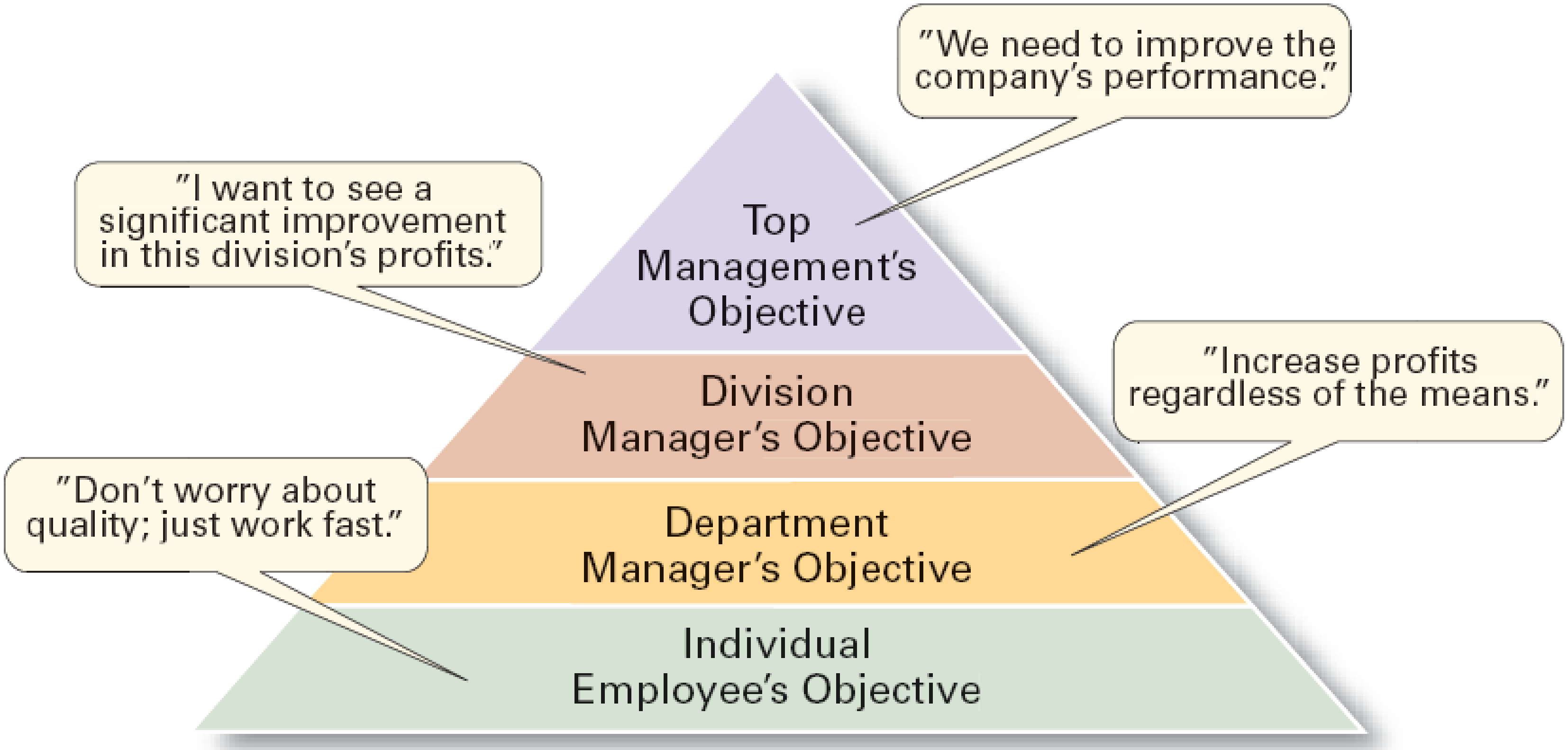
How Do Managers Plan?

- Elements of Planning
  - Goals (also Objectives)
    - Desired outcomes for individuals, groups, or entire organizations
    - Provide direction and evaluation performance criteria
  - Plans
    - Documents that outline how goals are to be accomplished
    - Describe how resources are to be allocated and establish activity schedules

Setting Goals

- Traditional Goal Setting
  - Broad goals are set at the top of the organization.
  - Goals are then broken into sub-goals for each organizational level.
  - Assumes that top management knows best because they can see the "big picture."
  - Goals are intended to direct, guide, and constrain from above.
  - Goals lose clarity and focus as lower-level managers attempt to interpret and define the goals for their areas of responsibility.

The Downside of Traditional Goal Setting



Setting Goals

- Management By Objectives (MBO)
  - Specific performance goals are jointly determined by employees and managers.
  - Progress toward accomplishing goals is periodically reviewed.
  - Rewards are allocated on the basis of progress towards the goals.
  - Key elements of MBO:
    - Goal specificity, participative decision making, an explicit performance/evaluation period, feedback

Steps in Goal Setting

1. **Review the organization's mission statement.**

   Do goals reflect the mission?

2. **Evaluate available resources.**

   Are resources sufficient to accomplish the mission?

3. **Determine goals individually or with others.**

   Are goals specific, measurable, and timely?

4. **Write down the goals and communicate them.**

   Is everybody on the same page?

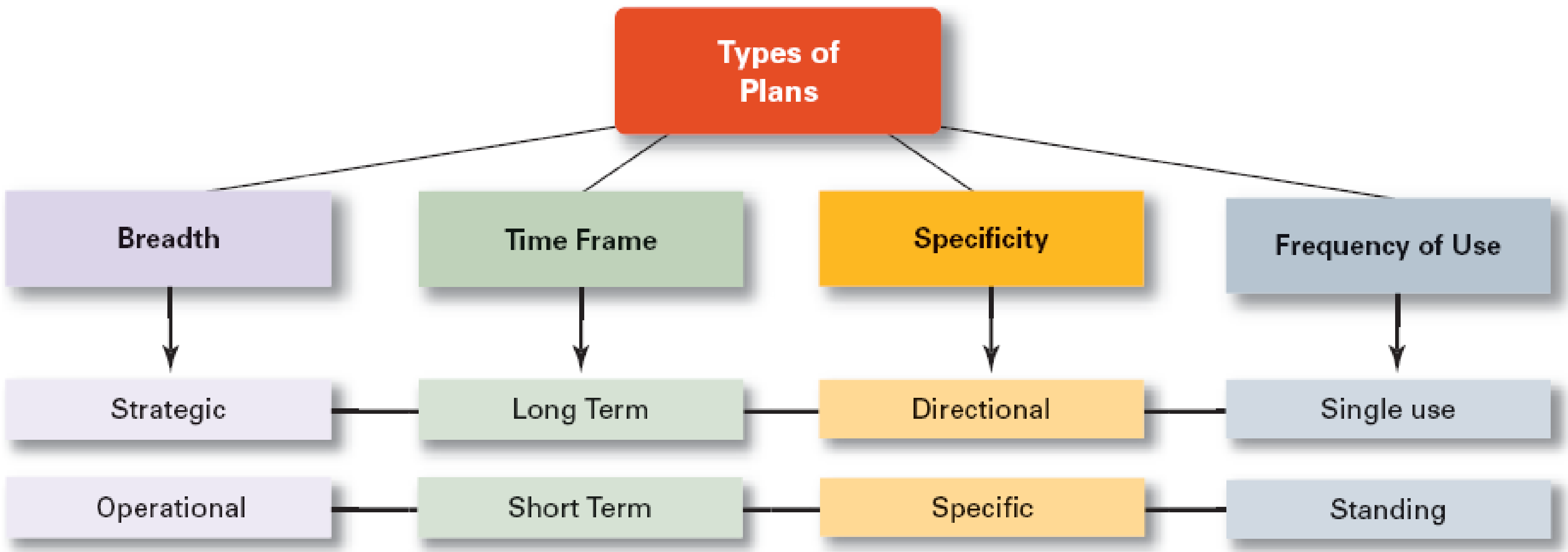
5. **Review results and whether goals are being met.**

   What changes are needed in mission, resources, or goals?

Exhibit 3–2 Well-Designed Goals

- Written in terms of outcomes, not actions
  - Focuses on the ends, not the means.
- Measurable and quantifiable
  - Specifically defines how the outcome is to be measured and how much is expected.
- Clear time frame
  - How long before measuring accomplishment.
- Challenging yet attainable
  - Low goals do not motivate.
  - High goals motivate if they can be achieved..
- Communicated to all necessary organizational members
  - Puts everybody “on the same page.”

Exhibit 3–3 Types of Plans



Types of Plans

- Strategic Plans
  - Apply to the entire organization.
  - Establish the organization's overall goals.
  - Seek to position the organization in terms of its environment.
  - Cover extended periods of time.
    - *Should we expand into overseas markets?*
- Operational Plans
  - Specify the details of how the overall goals are to be achieved.
  - Cover a short time period.
    - *Should we order new equipment to produce our number-one product more efficiently?*

Types of Plans

- Long-Term Plans
  - Plans with time frames extending beyond three years
- Short-Term Plans
  - Plans with time frames of one year or less
- Specific Plans
  - Plans that are clearly defined and leave no room for interpretation
- Directional Plans
  - Flexible plans that set out general guidelines and provide focus, yet allow discretion in implementation

Types of Plans

- Single-Use Plan
  - A one-time plan specifically designed to meet the need of a unique situation.
- Standing Plans
  - Ongoing plans that provide guidance for activities performed repeatedly.

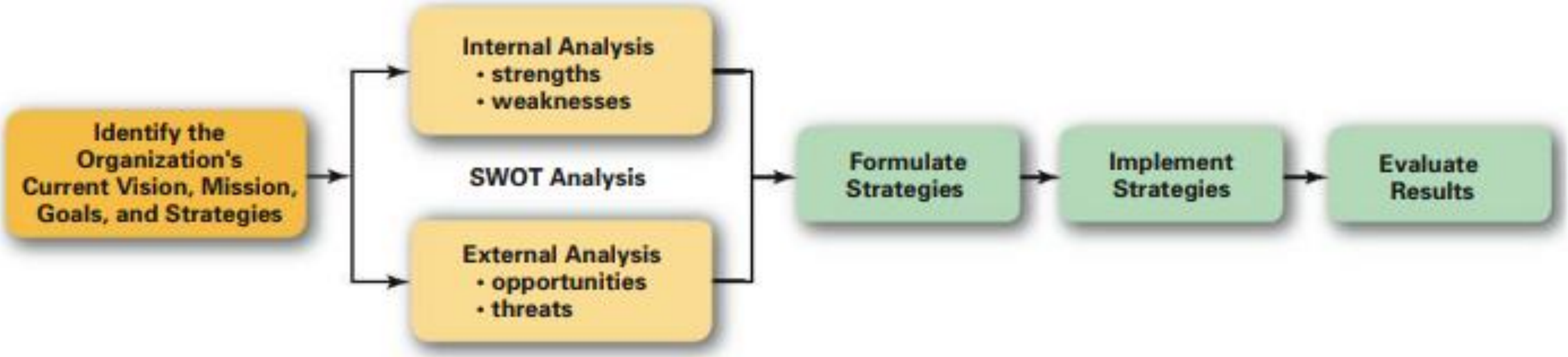
Organizational Strategy

- What is strategic management?
  - What managers do to develop the organization's strategies.
- What are an organization's strategies?
  - How the organization will do whatever it is in business to do
  - How it will compete successfully
  - How it will attract and satisfy its customers

Business model

- Often used in conjunction with strategic management and strategies.
- A strategic design for how a company intends to profit from its strategies, work processes, and work activities.
- Focuses on two things:
  1. whether customers will value what the company is providing
  2. whether the company can make any money doing that

Strategic Management Process



Step 1: Identify the Organization's Current Vision, Mission, Goals, and Strategies

- Vision answers the question, What will this business be in the future?
- Mission answers the question, What is our reason for being in business?

Components of a Mission Statement

- Customers: Who are the organization’s customers?
- Markets: Where does the organization compete geographically?
- Concern for survival, growth, and profitability: Is the organization committed to growth and financial stability?
- Philosophy: What are the organization’s basic beliefs, values, and ethical priorities?
- Concern for public image: How responsive is the organization to societal and environmental concerns?

Components of a Mission Statement

- Products or services: What are the organization’s major products or services?
- Technology: Is the organization’s technology current?
- Self-concept: What are the organization’s major competitive advantage and core competencies?
- Concern for employees: Are employees a valuable asset of the organization?

Vision, Mission and Goals of *Work Safe BC*:

Our vision Workers and workplaces safe and secure from injury, illness, and disease.

Our mission To add value for workers and employers by:

- Assisting them to create a culture of health and safety in the workplace
- Delivering quality decisions and advice
- Providing compassionate and supportive service
- Ensuring solid financial stewardship now and in the future

Step 2: Do an Internal Analysis

- Provides important information about an organization’s specific resources and capabilities
  - Resources are its assets—financial, physical, human, intangible—that are used by the organization to develop, manufacture, and deliver products or services to its customers
  - Capabilities are its skills and abilities in doing the work activities needed in its business. Major value-creating capabilities and skills of the organization are known as its core competencies.
- Doing internal analysis of organization’s assets is fairly easy i.e. financial and physical assets.
- Evaluating organization’s intangible assets is a bit more challenging i.e. employee’s skills, talents and knowledge. Most difficult intangible assets to evaluate are organizational culture and corporate reputation.

Step 2: Do an Internal Analysis

- Doing internal analysis helps to identify organizational strength and weaknesses.
  - Strengths are any activities the organization does well or any unique resources that it has.
  - Weaknesses are activities the organization does not do well or resources it needs but does not possess.

Step 3: Do an External Analysis

- Need to know, for example,
  - What the competition is doing?
  - What pending legislation might affect the organization
  - What the labor supply is like in locations where it operates
- Assess what they have learned in terms of opportunities the organization can exploit, and threats it must counteract.
- Same environment can present opportunities to one organization and pose threats to another in the same industry because of their different resources and capabilities.

Step 3: Do an External Analysis

- PESTEL Analysis
  - an acronym for six contextual factors that shape a company's external environment: Political, Economic, Socio-cultural, Technological, Environmental, and Legal.
- PESTEL analysis is a way for a company to align its strategy with the external environment.

PESTEL Analysis

- Political
  - How stable is the political environment?
- Economic
  - What are local employment levels per capita and how are they changing?
- Socio-cultural
  - What are local lifestyle trends?
- Technological
  - What is the government and industry's level of interest and focus on technology?
- Environmental
  - Are there environmental protection laws?
- Legal
  - Are there relevant consumer laws?

SWOT Analysis

- An analysis of the organization's Strengths, Weaknesses, Opportunities, and Threats.
- The combined external and internal analyses.
- Effective when the analysis helps companies make specific observations and draw conclusions, and allows them to develop plans to act upon this information.

Step 4: Formulate Strategies

- Develop and evaluate strategic alternatives that gives relative advantage over its rivals.
- Select strategies that either capitalize on the organization’s strengths and exploit environmental opportunities or correct the organization’s weaknesses and buffer it against threats.

Step 5: Implement Strategies

- No matter how effectively an organization has planned its strategies, it cannot succeed if the strategies are not implemented properly.
- Involving all members of the organization in strategic planning is also important.

Step 6: Evaluate Results

- How effective have the strategies been?
  - A winning strategy is one that provides competitive advantage, leads to improved performance, and fits the industry and competitive situation.
- What adjustments, if any, are necessary?
  - Revisions become necessary for several reasons: specific company performance, changing environmental conditions, and new opportunities.

Terms to Know

- planning
- goals
- plans
- stated goals
- real goals
- framing
- strategic plans
- operational plans
- long-term plans
- short-term plans
- specific plans
- directional plans
- single-use plan
- standing plans
- traditional goal setting
- means-ends chain
- management by objectives (MBO)
- mission
- commitment concept
- formal planning department